

Research Briefing | Italy

A “dolce vita” revival is still too early to call

Economist

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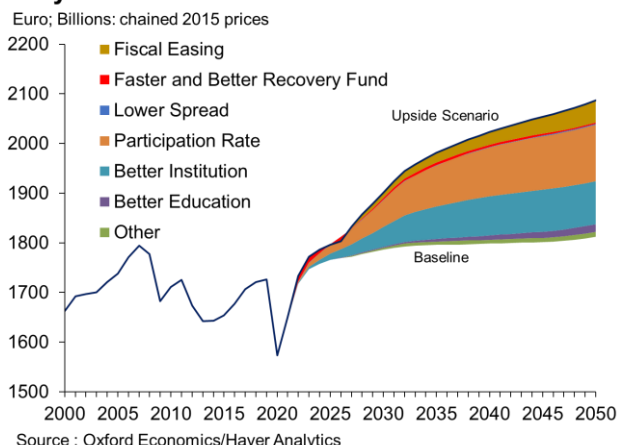
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Figure 1: If Italian governments pursue a reformist agenda, the economy will emerge from stagnation

- According to our analysis, reforms planned by Italy’s new Prime Minister Mario Draghi could reverse some of the lacklustre growth and debt sustainability problems that have plagued the economy for years. But as detailed proposals have yet to be revealed, let alone put into action, and Draghi’s reformist agenda will inevitably face stronger political opposition in the future, we maintain a wait-and-see approach. As such, we do not plan to adjust our baseline forecast for Italy immediately.
- Using our Global Economic Model, we have developed an upside scenario for Italy that assumes structural reforms are successfully implemented and maintained by future governments over the next decades. According to our calculations, Italy’s GDP would be up to 12% higher and public debt lower at 120% of GDP by 2040.
- In this scenario, Italian GDP gets a boost on the demand side via faster and more effective investment from the EU recovery fund. Growth is also supported on the supply side via increased capital accumulation, strengthening labour supply, higher institutional quality, and more rapid productivity growth.
- However, Draghi’s ambitious reform agenda will face enormous obstacles over the coming years, not least the pandemic-triggered health crisis, as well as the obvious risk that later governments will abandon the program. So this upside scenario should be seen as low probability.
- What’s more, even under an optimistic scenario, the growth boosts would only suffice to keep Italy’s per capita GDP levels from falling further behind the rest of the eurozone. Catching up remains an elusive hope.

Italy: GDP and levers contributions



Supply-side and demand-side stimuli will push up both actual GDP as well as potential output. The main contributors to raising GDP will come from an increase in the participation rate and the improvement in Italy’s still subdued institutional setting.

**A reformist
government for Italy
– at last**

**We maintain a wait-
and-see approach
and do not plan to
adjust our baseline
forecast immediately**

Draghi's agenda is short on specifics but offers some hope

Italy's new Prime Minister Draghi has made it clear that his government will be reformist and pro-European. In his remarks to Parliament when seeking a vote of confidence he laid out his government's intention to focus on the structural issues that have dogged Italy's economy over the last two decades.

So far, Draghi's agenda has been short on specifics. But education, the gender gap, environmental issues, corruption, institutional reforms, and tax reform have all emerged as target areas. While this list comes as no surprise, it's a good starting point for a country that has failed to produce a truly reformist government for 20 years and whose economy is expected to return to 2008 GDP levels only after 2025. What's more, Italy's economic activity has consistently trailed that of the eurozone for years, with Italian structural stagnation and its high public debt regularly cited as one of the main worries for the stability of the monetary union (**Figure 6**).

Our baseline won't change immediately

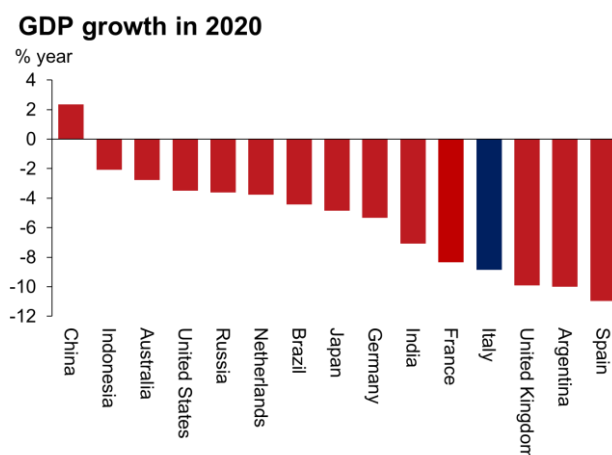
Draghi's goal of charting an ambitious reform course for Italy will face plenty of obstacles over the coming years and will require future governments stick to the path to have any chance of success. But in the immediate future, the two main constraints are how long this government will last and if it will be able to maintain strong political support over the next few months. Our view remains that at some point the reality of Italian politics will resurface. In fact, it's not difficult to envisage a scenario in which – after vaccinations are rolled out and the economy is firmly on a recovery path – some political parties (such as Salvini's Lega) withdraw their support and ask for new elections.

This could happen as early as next spring after the appointment of Italy's next President, which admittedly could be Draghi himself. The history of Italy's other technocrat governments (such as those led by Mr Ciampi and Mr Monti) shows that one year is the likely limit for this type. While some may hope that a government led by Mario Draghi would last until the end of the current legislature in 2023, we're not sure this time will be different.

Furthermore, the short-term outlook for the Italian economy remains clearly tied to two developments: the unfolding health situation and accessing the EU's fiscal support fund. While a Draghi administration could stray from the previous government's line on both, it's difficult to see Italy changing course in the middle of a pandemic. In the short term, we also don't expect a government of national unity to drastically alter fiscal policy, which we expect to remain accommodative in 2021. In his speech, Draghi stated the need to be selective to avoid propping up failing 'zombie' firms, but still committed to further stimulus to protect firms and employees.

For these reasons, we do not plan to adjust our outlook on Italy in the baseline forecast. Still, it's important to recognise the potential for an upside scenario if a Draghi government is able to set the stage for institutional and economic reforms that are subsequently built on in the next few years.

Figure 2: The Italian economy was one of the worst hit by the coronavirus



Source : Oxford Economics/Haver Analytics

Last year, Italy suffered a massive drop in economic activity. Among the advanced economies, Italy recorded one of the worst performances, with GDP plunging by around 9%.

Upside scenario: economic and structural reforms in Italy

Using our [Global Economic Model](#), we have developed an illustrative upside scenario for Italy. The main underlying theme of this scenario is that Draghi is able to set Italy on a path of structural reform that subsequent governments follow. The main assumptions are summarised in **Figure 3** below and listed in the appendix.

Figure 3: Scenario assumptions

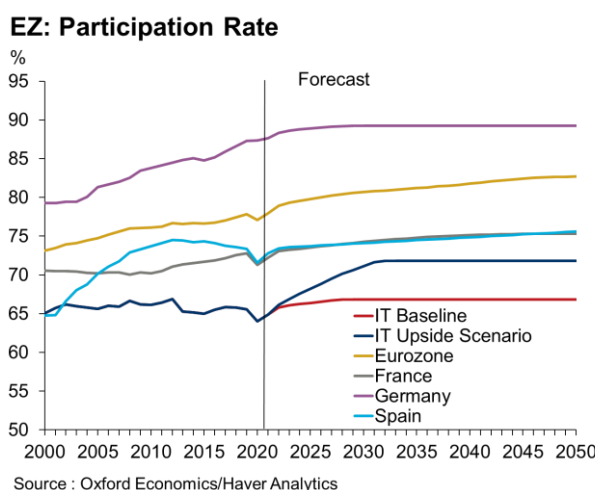
	Assumption	Transmission	Calibration
Near to Medium Term	Investor sentiment improves	Lower government rates help with the interest payments and reduces private rates.	Italian 10-year government bond yield spread increases only marginally from current level and stabilizes at around 100bps after 2021, in line with the 10-year government bond yield of Spain.
	Faster implementation of Recovery Fund	Stronger demand helps GDP growth.	Recovery fund has a much faster absorption than in baseline, with all the additional funding going to government investment.
Long Term	Gender gap is reduced	Potential output is stronger over the longer term, in line with increased capital accumulation, strengthening labour supply and more rapid productivity.	Implied gender gap participation rate diminishes by 10ppt, with the overall participation rate that gradually increases over the next 10 years.
	Quality of institution is improved		Quality of institutions in Italy improves over the next 10 years, in line with the historical improvements posted for the best eurozone countries.
	Better educational quality		Average years of education increases at a quicker rate than in baseline and reaches 15 at the end of the scenario simulation (2050).
	Additional fiscal easing as debt burden issues soften	Stronger government investment and government consumption help with both demand and potential output.	Additional fiscal easing in government consumption and government investment, from mid-2020 with targeting a government debt as a % of GDP lower than 100 in 2050 and a primary surplus of around 3% of GDP.

- Investor sentiment improves.** Under this assumption, the Italian 10-year government bond yield spread versus the German bund broadly remains at low level (90bps) this year, before increasing only marginally in 2022 to 100bps, versus our baseline that sees the spread rising steadily to around 200bps. Yields on Italy's bonds would be in line with what we expect for Spain, with investors assessing the two countries' risk premia as broadly similar. We also assume that Italy's redenomination risk premium will decrease substantially. Indeed, some parties (such as Lega) which have been advocates for a euro exit are now supporting this pro-European government. We assume they would continue to do so in the coming years.
- Faster implementation of the EU Recovery Fund.** Previously, we've [noted](#) that Italy has had persistent difficulties in spending European resources and it lacks institutional preparedness, indicated by persistently poor public sector performance and institutional quality indicators. For these reasons particularly, our current baseline assumes a much slower absorption of the funds than the government projects, at

least for the first few years. But in the upside scenario, we assume that reformist governments in Italy will be able to solve these issues, with a better target for the recovery fund and a much quicker absorption than in our baseline, with the government able to spend all the money by the end of 2025.

3. **The gender gap is reduced.** In Italy, the number of women in the labour force remains low due to a combination of cultural and structural factors. Even though there are no significant differences in the level of education between men and women, the lack of family-friendly policies, low career expectations, subdued growth, and high pay gaps drag heavily on female participation. The female participation rate, at 56% in 2019, is 20ppts lower than that for males (**Figure 6**). In our upside scenario, we assume that Italy follows the example of other countries in Europe, such as Spain in the early 2000s, gradually reducing this gap to around 10ppts over 10 years. Despite the improvement, the overall participation rate in the scenario would still be lower than our baseline estimates for other large eurozone economies (**Figure 4**).

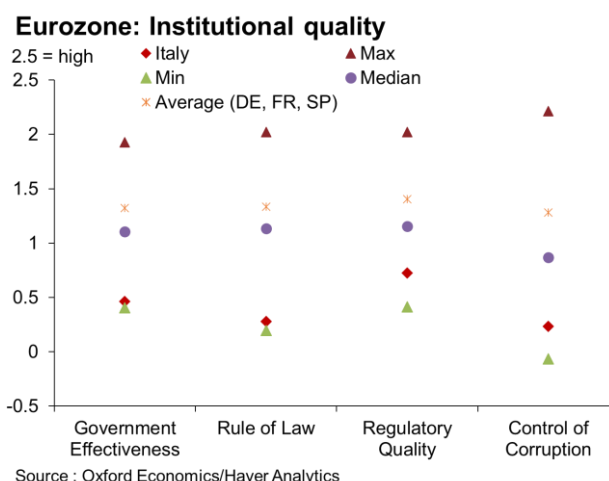
Figure 4: In the upside scenario we see the participation rate gradually increasing over the next decade



In the scenario we assume that Italy reduces the gender gap in participation rates to around 10ppts over 10 years. Still, the overall participation rate remains lower than what we expect for Spain and France.

4. **The quality of institutions is improved.** Italy has long been seen as a laggard in its poor institutional quality. While difficult to measure directly, some proxies can help gauge the distance between Italian institutions and those of its European peers. The World Bank's governance indicators show that the quality of Italy's institutions is among the lowest in the eurozone (**Figure 4**). What's more, other alternative measures such as the length of a judicial trial or processes for enforcing contracts (**Figure 7 and 8**) confirm the terrible performance of the Italian administrative system. Draghi has highlighted the need to speed-up judicial trials and fight against corruption. In the upside scenario we assume that his and subsequent governments would gradually tackle these long-standing issues. Clearly this is not an easy task, but other countries have shown that progress is possible. We assume that the improvements in the World Bank's governance indicators shown in **Figure 5**, which are then used in our model for building a measure of institutional quality, are in line with the best performers among the eurozone countries.
5. **Better educational quality.** Draghi has mentioned several times in his speech the need to improve the education system, to better meet the needs of the labour market. In our scenario we use average years of education as a proxy, and assume the period increases at a quicker rate than in our baseline.

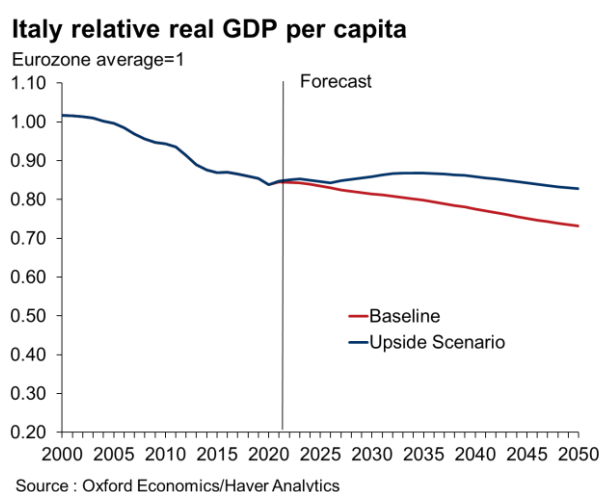
Figure 5: Italian institutional quality remains poor compared to that of other eurozone countries



According to the metrics compiled by the World Bank, Italy's performance on government effectiveness, rule of law, regulatory quality, and control of corruption is among the worst in the eurozone.

6. **Additional fiscal easing as the debt burden.** All the measures above would already contribute to much better fiscal metrics than in our baseline, as they push up potential output. In the upside scenario we assume there is scope for additional fiscal spending. Via higher government investment and spending, we estimate a primary surplus of around 3% of GDP in 2030-2040, broadly double that in our current baseline. Still, due to much stronger growth and despite lower inflation (**Figure 11**), the debt to GDP ratio decreases at a much faster pace than in the baseline (**Figure 9**).

Figure 6: Italy would stop being the main laggard of the eurozone



In our upside scenario we show that Italy's lacklustre growth and questionable debt sustainability would be removed from the list of Europe's key worries.

The pace of growth would double

Overall, under these assumptions Italian GDP would almost double its annual pace of growth over 2021-2040, from 0.7% in the baseline to 1.3%. The level of GDP would be around 12% higher than in the baseline in 2040. Stronger supply in the economy would result in faster employment creation, with the number of employed up by 1.5 million by the end of 2040. Moreover, one of the most important takeaways under this optimistic scenario is that Italy's debt sustainability would drop down the list of Europe's key worries, with public debt dropping to 120% of GDP in 2040, and around 95% of GDP in 2050. This is 30ppts lower than in the current baseline.

Both supply-side and demand-side stimulus would push up actual GDP as well as potential output. The main contributors to the stronger GDP profile are the increase in the participation rate and the improvement in the Italian institutional framework (**Figure 1**). Both directly affect the currently subdued potential output. However, while the new growth dynamic would be considerably higher than in our baseline (**Figure 10**), it would be only enough to prevent a widening in the gap with the rest of the eurozone (**Figure 5**).

Our scenario is, by definition, a simplification of what could happen in the Italian economy. As with most models, it does not differentiate between a bad government investment or a good one, nor does it explicitly take into account the economic costs of supply-side reforms.

Still, it is a useful guide to quantify the potential benefits of Draghi-style structural reforms. What's more, our results show that regardless of the political orientation of government, the critical issue for Italy continues to be solving its structural issues. Doing so would not only be hugely beneficial for the country itself, but it would also help Italy stop being considered the eurozone's main liability and a permanent threat to the stability of the union.

Appendix – Calibration of the upside scenario

For our clients which are familiar with the mnemonics of the Global Economic Model (GEM) here we summarize the steps taken in creating our upside scenario:

1. Italian 10-year government bond yield spread (RLG_SPREAD) increases only marginally from the current level and stabilizes at around 100bps after 2021, in line with the 10-year government bond yield of Spain.
2. The Recovery fund has a much faster absorption than in baseline. Different from the baseline, we assume higher government investment (GI) over a much shorter time horizon (2021-2025).
3. The implied gender gap participation rate is reduced by 10ppts, with the overall participation rate (PART) gradually increasing over the next 10 years.
4. The quality of Italy's institutions (INSTIT) improves over the next 10 years, in line with the average of the first quartile for eurozone countries for the four subsectors for which Italy is well-behind the eurozone peers.
5. Average years of education (EDUCAVE) increases at a quicker rate than in the baseline and reaches 15 at the end of the scenario simulation (2050).
6. Additional fiscal easing in government consumption (GC) and government investment (GI), from mid-2020, targeting a government debt as a % of GDP of around 95% in 2050 and a primary surplus (GBPRIM%) of around 3% of GDP.

The database will be available for GEM clients on request.

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Figure 7: The Italian gender gap in participation rates is one of the widest in the eurozone

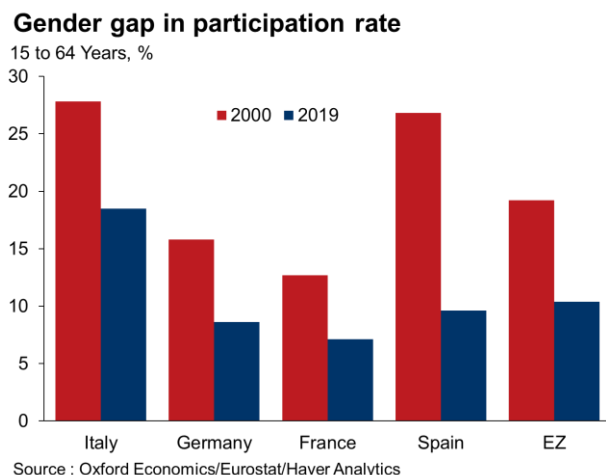


Figure 8: Italy lags even Greece in the length of civil and commercial litigation

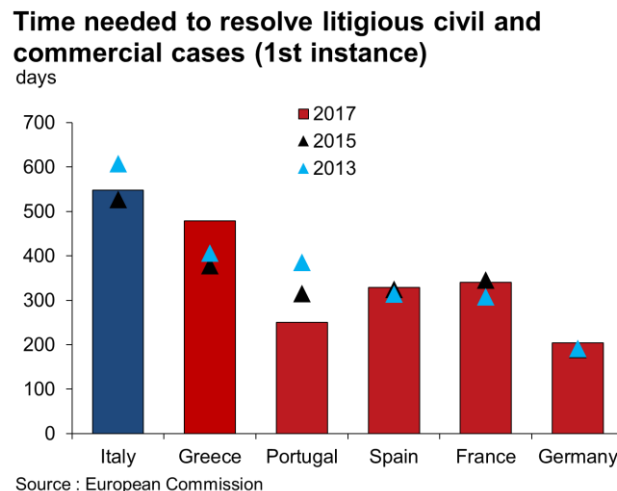


Figure 9: The time needed for enforcing a contract is much longer than in other countries

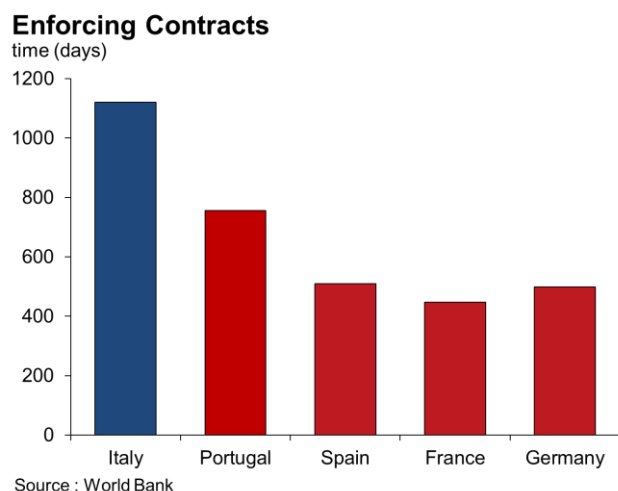


Figure 10: In the scenario public debt is clearly less of an issue

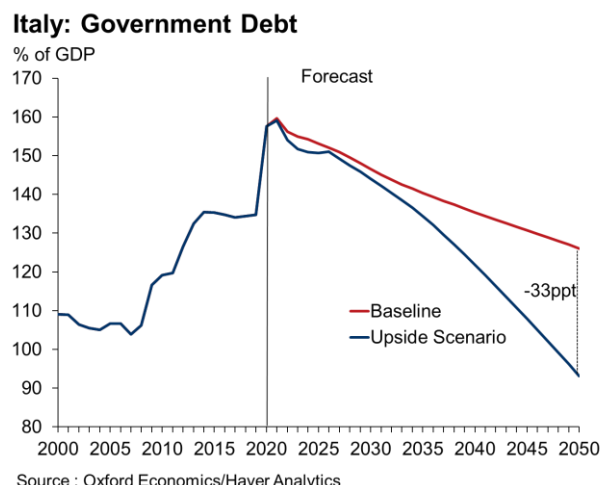


Figure 11: Output and potential output are stronger over the longer term

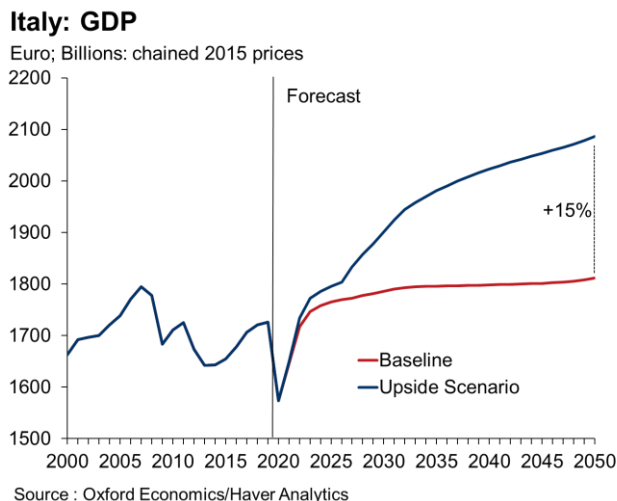


Figure 12: Supply-side factors are putting downward pressure on inflation

